Business Environment & Ethics - Set 14

50 MCQs - 1 mark each - answers and explanations are at the end

> Choose the single best option. Do not look at the last pages until you finish.

> **Case:** SafeBrake's Defective Batch: A quality inspector at SafeBrake Ltd finds that a batch of brake parts is defective. His manager tells him to ship the batch anyway to meet a deadline. The inspector reports the matter through the company's vigil mechanism and the batch is stopped.

1. A vigil mechanism for such reports is required for specified companies under the:
- A. Consumer Protection Act
- B. FEMA
- C. Indian Contract Act
- D. Companies Act, 2013

2. NITI Aayog stands for
- A. National Institution for Transforming India
- B. National Institute for Trade and Industry
- C. National Industrial Trade Investment Agency
- D. New India Trade Initiative

3. Consumer sovereignty means
- A. Producers decide everything
- B. The government decides output
- C. Consumers' demand ultimately determines what is produced
- D. Prices never change

4. National Consumer Day in India is observed on
- A. 15 March
- B. 24 December
- C. 1 May
- D. 26 January

5. Ethical relativism holds that morality
- A. Depends on culture and context
- B. Is universal
- C. Is fixed by law
- D. Does not exist

6. Increased competition after 1991 forced Indian firms to
- A. Improve efficiency and quality
- B. Reduce production
- C. Stop advertising
- D. Close down

7. Patents protect
- A. Brand names
- B. Inventions
- C. Books
- D. Company names

8. The 2018 amendment to the Prevention of Corruption Act, 1988 made
- A. Taking a bribe legal
- B. Giving a bribe also an offence
- C. Gifts compulsory
- D. Audits optional

9. A code of ethics is
- A. A tax law
- B. A written set of principles guiding employee conduct

C. A financial statement
D. A marketing plan

10. A positive impact of LPG on Indian consumers is
A. Fewer product choices
B. Greater variety and better quality of goods
C. Higher import duties
D. Rationing of goods

11. Protection of minority shareholders is aimed at
A. Helping majority shareholders
B. Preventing oppression by majority shareholders
C. Closing companies
D. Reducing dividends

12. Enron's collapse showed that a written code of ethics is ineffective unless
A. It is printed in colour
B. It is very short
C. It is kept secret
D. Top management actually follows it

> **Case:** The Handloom Village and the City: A village handloom cooperative is losing customers to cheaper imported fabrics and large brands. In the same period, urban software professionals see their incomes rise sharply, while rural incomes grow slowly. Critics say the reforms have benefited some regions and groups much more than others.

13. The widening gap between urban professionals and rural families illustrates:
A. Growing income inequality
B. Equal distribution of income
C. Decline in services
D. Falling imports

14. The "Triple Bottom Line" approach, coined by John Elkington, refers to
A. People, Planet and Profit
B. Price, Product and Promotion
C. Plan, Process and Policy
D. Power, Position and Prestige

15. Which indicator is commonly used to measure retail inflation in India?
A. Consumer Price Index (CPI)
B. Sensex
C. Repo rate
D. Fiscal deficit

> **Case:** GadgetHub's Take-Back Scheme: GadgetHub collects old phones and chargers from customers and sends them for safe recycling, in line with rules requiring producers to manage the waste from their products. The company says this protects the environment and helps it comply with the law.

16. The producer's duty to manage the waste of its products after use is called:
A. Product differentiation
B. Extended Producer Responsibility (EPR)
C. Vertical integration
D. Corporate takeover

17. A code of ethics is
A. A list of tax rules
B. A government licence
C. A formal statement of an organisation's values and principles that guide conduct
D. A financial statement

18. Infosys' core values, summarised as C-LIFE, include
A. Secrecy
B. Cost cutting only
C. Integrity and transparency
D. Speed only

19. Under liberalisation, the requirement of prior approval under the MRTP Act for expansion of large firms was
A. Abolished
B. Made stricter
C. Extended to all firms
D. Extended to farms

20. The Insolvency and Bankruptcy Code was enacted in
A. 2006
B. 2016
C. 2013
D. 2019

> **Case:** The Handloom Village and the City: A village handloom cooperative is losing customers to cheaper imported fabrics and large brands. In the same period, urban software professionals see their incomes rise sharply, while rural incomes grow slowly. Critics say the reforms have benefited some regions and groups much more than others.

21. The handloom cooperative's problem illustrates the criticism that:
A. Multinationals never enter India
B. Prices always rise after reforms
C. Small domestic firms face intense competition from big firms and multinationals
D. Exports always fall

22. Which sector contributes the largest share to India's GDP?
A. Agriculture sector
B. Industry sector
C. Services sector
D. Mining sector

> **Case:** Lotus Retail's Procurement Head: The procurement head at Lotus Retail is offered a luxury holiday by a supplier who is bidding for a large contract. The head knows the supplier's prices are higher than those of other bidders. The company's code of conduct requires employees to avoid personal gain from business dealings.

23. The ethical action for the procurement head is to:
A. Accept quietly
B. Accept and award the contract
C. Accept and share with colleagues
D. Decline the offer and disclose it to the company

24. The UN Sustainable Development Goals adopted in 2015 number
A. 10
B. 17
C. 12
D. 25

25. Disinvestment means
A. Buying private companies
B. Sale of government equity in public sector enterprises
C. Closing public enterprises
D. Increasing public ownership

> **Case:** UrbanThread Fashion: UrbanThread, a clothing retailer, is reviewing its environment. A new law has raised minimum wages for garment workers. High inflation is reducing customers' spending on non-essential items. Activists criticise the industry for textile waste and demand recycling. Younger buyers increasingly prefer sustainable, ethically made clothing.

26. High inflation reducing spending on non-essentials is an:
A. Legal factor
B. Political factor
C. Environmental factor
D. Economic factor

27. Which of the following is NOT a stakeholder of a business?
A. Employees
B. Customers
C. A firm that has no connection with it at all
D. Suppliers

28. The Whistle Blowers Protection Act in India was passed in
A. 1994
B. 2014
C. 2004
D. 2019

29. Under the MSMED Act, 2006, buyers must pay micro and small enterprise suppliers within a maximum of
A. 120 days
B. 1 year
C. 10 days
D. 45 days

30. Organisational structure refers to
A. The firm's customer base
B. The firm's competitors
C. The firm's tax records
D. The pattern of authority, responsibility and communication in a firm

31. Employing children in hazardous work is prohibited under the
A. Companies Act
B. SEBI Act
C. FEMA
D. Child and Adolescent Labour (Prohibition and Regulation) Act

32. Under the Consumer Protection Act, 2019, the CCPA can penalise a manufacturer or endorser for a false or misleading advertisement up to Rs 10 lakh for the
A. First offence
B. Only the third offence
C. Never
D. Foreign products only

33. A commonly observed outcome of post-reform growth in India is
A. Rising poverty and equality
B. Fall in the poverty ratio alongside rising inequality
C. No change in poverty or inequality
D. Complete elimination of poverty

34. Charging hidden fees not disclosed upfront is
A. Fair pricing
B. A dishonest and unfair practice
C. Honest billing
D. A discount

35. Open communication with employees about company performance builds
A. Confusion
B. Trust and commitment
C. Resistance
D. Secrecy

> **Case:** Aarav Pharma: Shareholders versus Stakeholders: At the annual meeting of Aarav Pharma, some shareholders argue that the firm's only duty is to maximise profit within the law. The CEO disagrees, saying that employees, patients and the local community also matter. She announces a low-cost medicine range for rural patients and a plan to report on people, planet and profit.

36. In Carroll's CSR pyramid, the base on which all other responsibilities rest is:
A. Legal responsibility
B. Ethical responsibility
C. Philanthropic responsibility
D. Economic responsibility

37. The ministry responsible for environmental policy in India is the
A. Ministry of Labour
B. Ministry of Commerce

C. Ministry of Environment, Forest and Climate Change
D. Ministry of Finance

38. In PESTLE, the letter 'L' stands for
A. Labour
B. Legal
C. Liberalisation
D. Leadership

39. Political stability in a country generally results in
A. Frequent policy changes
B. No taxes
C. Predictable policies that encourage investment
D. No competition

> **Case:** Three Countries, Three Systems: In Country X, private firms own most resources and prices are set by markets with little state interference. In Country Y, the state owns all factories and plans output centrally. In Country Z, private and public enterprises operate side by side and the government regulates key sectors, as in India.

40. Country X is best described as a:
A. Socialist economy
B. Capitalist economy
C. Traditional economy
D. Mixed economy

41. A fair contract should have
A. Hidden clauses
B. Free consent and clear terms
C. One-sided penalties
D. Verbal terms only

42. Tax reforms after 1991 aimed at
A. Reducing tax rates and simplifying the tax structure
B. Raising customs duty to 300%
C. Abolishing all taxes
D. Taxing only agriculture

43. Which of the following is a technology-related threat for a firm still using old technology?
A. A government subsidy
B. Obsolescence of its products
C. A tax cut
D. Brand loyalty

44. Rapid growth in GDP generally leads to
A. Higher consumer spending and demand
B. Lower demand
C. Higher unemployment
D. Fewer business opportunities

45. Invisible barriers that prevent women or minorities from reaching top positions are called the
A. Glass ceiling
B. Price ceiling
C. Credit ceiling
D. Tax ceiling

46. Showing the full price including all charges upfront reflects
A. Pricing transparency
B. Dark patterns
C. Hidden fees
D. Price gouging

> **Case:** GadgetHub's Take-Back Scheme: GadgetHub collects old phones and chargers from customers and sends them for safe recycling, in line with rules requiring producers to manage the waste from their products. The company says this protects the environment and helps it comply with the law.

47. Rules on managing electronic waste are framed under the:

A. Consumer Protection Act, 2019
B. Competition Act, 2002
C. Indian Contract Act, 1872
D. Environment (Protection) Act, 1986

> **Case:** Malabar Spice Exporters: Malabar Spice Exporters, a Kochi-based firm, has an efficient cold-storage system and a strong brand abroad. This year, a poor monsoon reduced pepper output, a recession in Europe cut import demand, a Vietnamese competitor began offering lower prices, and the government announced a new export incentive scheme for spices.

48. The poor monsoon is best described as:

A. An internal, controllable factor
B. An external, uncontrollable natural factor
C. A strength of the firm
D. A managerial policy decision

49. The Drugs and Cosmetics Act, 1940 regulates

A. Import, manufacture and sale of drugs and cosmetics
B. Stock trading
C. Banking
D. Mining

50. Property held in another person's name to conceal the real owner is addressed by the

A. Factories Act
B. Benami Transactions (Prohibition) Act
C. Sale of Goods Act
D. Payment of Wages Act

Answer key - Set 14

1. **D**	11. **B**	21. **C**	31. **D**	41. **B**
2. **A**	12. **D**	22. **C**	32. **A**	42. **A**
3. **C**	13. **A**	23. **D**	33. **B**	43. **B**
4. **B**	14. **A**	24. **B**	34. **B**	44. **A**
5. **A**	15. **A**	25. **B**	35. **B**	45. **A**
6. **A**	16. **B**	26. **D**	36. **D**	46. **A**
7. **B**	17. **C**	27. **C**	37. **C**	47. **D**
8. **B**	18. **C**	28. **B**	38. **B**	48. **B**
9. **B**	19. **A**	29. **D**	39. **C**	49. **A**
10. **B**	20. **B**	30. **D**	40. **B**	50. **B**

Answers with explanations

1. A vigil mechanism for such reports is required for specified companies under the:

Answer: D. Companies Act, 2013

Why correct: The Companies Act, 2013 requires a vigil mechanism for specified companies.

A is wrong: The Consumer Act protects consumers.

B is wrong: FEMA governs foreign exchange.

C is wrong: The Contract Act governs contracts.

2. NITI Aayog stands for

Answer: A. National Institution for Transforming India

Why correct: NITI Aayog = National Institution for Transforming India, the government think tank that replaced the Planning Commission.

B is wrong: National Institute for Trade and Industry is not its name.

C is wrong: National Industrial Trade Investment Agency is not its name.

D is wrong: New India Trade Initiative is not its name.

3. Consumer sovereignty means

Answer: C. Consumers' demand ultimately determines what is produced

Why correct: Consumer sovereignty: consumers' demand decides what is produced.

A is wrong: Producers do not decide everything.

B is wrong: The government does not decide output.

D is wrong: Prices do change.

4. National Consumer Day in India is observed on

Answer: B. 24 December

Why correct: National Consumer Day is 24 December.

A is wrong: 15 March is World Consumer Rights Day.

C is wrong: 1 May is Labour Day.

D is wrong: 26 January is Republic Day.

5. Ethical relativism holds that morality

Answer: A. Depends on culture and context

Why correct: Ethical relativism says morality depends on culture and context.

B is wrong: Universality is the opposite.

C is wrong: Law does not fix morality.

D is wrong: Morality exists.

6. Increased competition after 1991 forced Indian firms to

Answer: A. Improve efficiency and quality

Why correct: Competition pushed Indian firms to improve efficiency and quality.

B is wrong: They did not cut production.

C is wrong: They advertised more.

D is wrong: They did not close down.

7. Patents protect

Answer: B. Inventions

Why correct: Patents protect inventions.

A is wrong: Brand names are trademarks.

C is wrong: Books are copyrighted.

D is wrong: Company names are registered separately.

8. The 2018 amendment to the Prevention of Corruption Act, 1988 made

Answer: B. Giving a bribe also an offence

Why correct: The 2018 amendment made giving a bribe an offence too.

A is wrong: It did not legalise taking bribes.

C is wrong: It did not make gifts compulsory.

D is wrong: It did not make audits optional.

9. A code of ethics is

Answer: B. A written set of principles guiding employee conduct

Why correct: A code of ethics is a written set of principles guiding conduct.

A is wrong: A tax law is legal.

C is wrong: A financial statement reports money.

D is wrong: A marketing plan is strategy.

10. A positive impact of LPG on Indian consumers is

Answer: B. Greater variety and better quality of goods

Why correct: Consumers got greater variety and better quality.

A is wrong: Choices increased.

C is wrong: Import duties fell.

D is wrong: Rationing ended.

11. Protection of minority shareholders is aimed at

Answer: B. Preventing oppression by majority shareholders

Why correct: Minority protection prevents oppression by majority shareholders.

A is wrong: It is not meant to help the majority.

C is wrong: It does not aim to close companies.

D is wrong: It does not aim to cut dividends.

12. Enron's collapse showed that a written code of ethics is ineffective unless

Answer: D. Top management actually follows it

Why correct: Enron showed a written code is useless unless top management follows it.

A is wrong: Colour is irrelevant.

B is wrong: Length is irrelevant.

C is wrong: A secret code cannot guide anyone.

13. The widening gap between urban professionals and rural families illustrates:

Answer: A. Growing income inequality

Why correct: The widening gap between urban professionals and rural families is growing income inequality.

B is wrong: Distribution is not equal.

C is wrong: Services did not decline.

D is wrong: Imports did not fall.

14. The "Triple Bottom Line" approach, coined by John Elkington, refers to

Answer: A. People, Planet and Profit

Why correct: Triple Bottom Line = People, Planet and Profit.

B is wrong: Price, product and promotion is the marketing mix.

C is wrong: Plan, process and policy is not TBL.

D is wrong: Power, position and prestige is not TBL.

15. Which indicator is commonly used to measure retail inflation in India?

Answer: A. Consumer Price Index (CPI)

Why correct: CPI measures retail price inflation.

B is wrong: Sensex is a stock index.

C is wrong: Repo rate is a policy rate.

D is wrong: Fiscal deficit is a government finance measure.

16. The producer's duty to manage the waste of its products after use is called:

Answer: B. Extended Producer Responsibility (EPR)

Why correct: A producer's duty to manage waste from its products is EPR.

A is wrong: Differentiation sets products apart.

C is wrong: Vertical integration controls the supply chain.

D is wrong: A takeover buys a company.

17. A code of ethics is

Answer: C. A formal statement of an organisation's values and principles that guide conduct

Why correct: A code of ethics is a formal statement of an organisation's values and principles guiding conduct.

A is wrong: A list of tax rules is tax law.

B is wrong: A licence is a government permission.

D is wrong: A financial statement reports money.

18. Infosys' core values, summarised as C-LIFE, include

Answer: C. Integrity and transparency

Why correct: Infosys's C-LIFE values include integrity and transparency.

A is wrong: Secrecy is not a value.

B is wrong: Cost cutting is not a value.

D is wrong: Speed alone is not a value.

19. Under liberalisation, the requirement of prior approval under the MRTP Act for expansion of large firms was

Answer: A. Abolished

Why correct: Prior MRTP approval for expansion was abolished.

B is wrong: It was not made stricter.

C is wrong: It was not extended.

D is wrong: Farms were not covered.

20. The Insolvency and Bankruptcy Code was enacted in

Answer: B. 2016

Why correct: The Insolvency and Bankruptcy Code was enacted in 2016.

A is wrong: 2006 is wrong.

C is wrong: 2013 is wrong.

D is wrong: 2019 is wrong.

21. The handloom cooperative's problem illustrates the criticism that:

Answer: C. Small domestic firms face intense competition from big firms and multinationals

Why correct: Handlooms losing to imports and large brands shows small firms facing intense competition.

A is wrong: Multinationals have entered.

B is wrong: Prices do not always rise.

D is wrong: Exports do not always fall.

22. Which sector contributes the largest share to India's GDP?

Answer: C. Services sector

Why correct: The services sector contributes the largest share of India's GDP.

A is wrong: Agriculture is smaller.

B is wrong: Industry is smaller.

D is wrong: Mining is much smaller.

23. The ethical action for the procurement head is to:

Answer: D. Decline the offer and disclose it to the company

Why correct: Declining the offer and disclosing it is the ethical action.

A is wrong: Accepting quietly is wrong.

B is wrong: Accepting and awarding is corrupt.

C is wrong: Sharing the gift is still accepting it.

24. The UN Sustainable Development Goals adopted in 2015 number

Answer: B. 17

Why correct: The UN adopted 17 SDGs in 2015.

A is wrong: 10 is wrong.

C is wrong: 12 is wrong.

D is wrong: 25 is wrong.

25. Disinvestment means

Answer: B. Sale of government equity in public sector enterprises

Why correct: Disinvestment is selling government equity in public enterprises.

A is wrong: Buying companies is the opposite.

C is wrong: Closing is not selling shares.

D is wrong: Increasing ownership is the opposite.

26. High inflation reducing spending on non-essentials is an:

Answer: D. Economic factor

Why correct: Inflation and spending are economic.

A is wrong: It is not a law.

B is wrong: It is not political.

C is wrong: It is not environmental.

27. Which of the following is NOT a stakeholder of a business?

Answer: C. A firm that has no connection with it at all

Why correct: A firm with no connection to the business is not a stakeholder.

A is wrong: Employees are stakeholders.

B is wrong: Customers are stakeholders.

D is wrong: Suppliers are stakeholders.

28. The Whistle Blowers Protection Act in India was passed in

Answer: B. 2014

Why correct: The Whistle Blowers Protection Act was passed in 2014.

A is wrong: 1994 is wrong.

C is wrong: 2004 is wrong.

D is wrong: 2019 is wrong.

29. Under the MSMED Act, 2006, buyers must pay micro and small enterprise suppliers within a maximum of

Answer: D. 45 days

Why correct: The MSMED Act requires payment to micro and small suppliers within 45 days.

A is wrong: 120 days is too long.

B is wrong: One year is too long.

C is wrong: 10 days is too short.

30. Organisational structure refers to

Answer: D. The pattern of authority, responsibility and communication in a firm

Why correct: Organisational structure is the pattern of authority, responsibility and communication.

A is wrong: Customer base is a market matter.

B is wrong: Competitors are external.

C is wrong: Tax records are financial.

31. Employing children in hazardous work is prohibited under the

Answer: D. Child and Adolescent Labour (Prohibition and Regulation) Act

Why correct: Hazardous child work is barred by the Child and Adolescent Labour Act.

A is wrong: Companies Act governs companies.

B is wrong: SEBI Act governs securities.

C is wrong: FEMA governs foreign exchange.

32. Under the Consumer Protection Act, 2019, the CCPA can penalise a manufacturer or endorser for a false or misleading advertisement up to Rs 10 lakh for the

Answer: A. First offence

Why correct: The CCPA can penalise up to Rs 10 lakh for the first offence of misleading advertising.

B is wrong: It applies from the first offence.

C is wrong: It can be applied.

D is wrong: It applies to all products.

33. A commonly observed outcome of post-reform growth in India is

Answer: B. Fall in the poverty ratio alongside rising inequality

Why correct: Poverty ratio fell while inequality rose.

A is wrong: Poverty did not rise.

C is wrong: Both did change.

D is wrong: Poverty was not eliminated.

34. Charging hidden fees not disclosed upfront is

Answer: B. A dishonest and unfair practice

Why correct: Hidden fees are dishonest and unfair.

A is wrong: Fair pricing discloses.

C is wrong: Honest billing discloses.

D is wrong: A discount reduces price.

35. Open communication with employees about company performance builds

Answer: B. Trust and commitment

Why correct: Open communication builds trust and commitment among employees.

A is wrong: It reduces confusion.

C is wrong: It reduces resistance.

D is wrong: It reduces secrecy.

36. In Carroll's CSR pyramid, the base on which all other responsibilities rest is:

Answer: D. Economic responsibility

Why correct: The base of Carroll's pyramid is economic responsibility.

A is wrong: Legal is the second layer.

B is wrong: Ethical is the third layer.

C is wrong: Philanthropic is the top layer.

37. The ministry responsible for environmental policy in India is the

Answer: C. Ministry of Environment, Forest and Climate Change

Why correct: Environmental policy is handled by the Ministry of Environment, Forest and Climate Change.

A is wrong: Labour handles labour.

B is wrong: Commerce handles trade.

D is wrong: Finance handles money.

38. In PESTLE, the letter 'L' stands for

Answer: B. Legal

Why correct: L stands for Legal.

A is wrong: It is not Labour.

C is wrong: It is not Liberalisation.

D is wrong: It is not Leadership.

39. Political stability in a country generally results in

Answer: C. Predictable policies that encourage investment

Why correct: Stability gives predictable policies that encourage investment.

A is wrong: Stable countries have fewer policy changes.

B is wrong: Taxes do not vanish.

D is wrong: Competition continues.

40. Country X is best described as a:

Answer: B. Capitalist economy

Why correct: Private ownership with market-set prices is capitalism.

A is wrong: Socialism has state ownership.

C is wrong: A traditional economy follows custom.

D is wrong: A mixed economy blends both.

41. A fair contract should have

Answer: B. Free consent and clear terms

Why correct: A fair contract has free consent and clear terms.

A is wrong: Hidden clauses are unfair.

C is wrong: One-sided penalties are unfair.

D is wrong: Verbal terms alone are weak.

42. Tax reforms after 1991 aimed at

Answer: A. Reducing tax rates and simplifying the tax structure

Why correct: Tax reforms cut rates and simplified the structure.

B is wrong: Raising duties to 300% is the opposite.

C is wrong: Abolishing all taxes is impossible.

D is wrong: Taxing only agriculture is not it.

43. Which of the following is a technology-related threat for a firm still using old technology?

Answer: B. Obsolescence of its products

Why correct: Using old technology risks product obsolescence.

A is wrong: A subsidy is helpful.

C is wrong: A tax cut is helpful.

D is wrong: Brand loyalty is helpful.

44. Rapid growth in GDP generally leads to

Answer: A. Higher consumer spending and demand

Why correct: GDP growth raises incomes, spending and demand.

B is wrong: Demand rises, not falls.

C is wrong: Unemployment tends to fall.

D is wrong: Opportunities increase.

45. Invisible barriers that prevent women or minorities from reaching top positions are called the

Answer: A. Glass ceiling

Why correct: The 'glass ceiling' blocks women and minorities from top posts.

B is wrong: A price ceiling limits prices.

C is wrong: A credit ceiling limits loans.

D is wrong: A tax ceiling limits tax.

46. Showing the full price including all charges upfront reflects

Answer: A. Pricing transparency

Why correct: Showing the full price upfront is pricing transparency.

B is wrong: Dark patterns hide information.

C is wrong: Hidden fees hide charges.

D is wrong: Price gouging exploits buyers.

47. Rules on managing electronic waste are framed under the:

Answer: D. Environment (Protection) Act, 1986

Why correct: E-waste rules are framed under the Environment (Protection) Act, 1986.

A is wrong: The Consumer Act is about consumers.

B is wrong: The Competition Act is about markets.

C is wrong: The Contract Act is about contracts.

48. The poor monsoon is best described as:

Answer: B. An external, uncontrollable natural factor

Why correct: A poor monsoon is a natural event outside the firm's control.

A is wrong: It is not internal.

C is wrong: It is not a strength.

D is wrong: It is not a management decision.

49. The Drugs and Cosmetics Act, 1940 regulates

Answer: A. Import, manufacture and sale of drugs and cosmetics

Why correct: The Drugs and Cosmetics Act regulates import, manufacture and sale of drugs and cosmetics.

B is wrong: Stock trading is SEBI.

C is wrong: Banking is RBI.

D is wrong: Mining has its own laws.

50. Property held in another person's name to conceal the real owner is addressed by the

Answer: B. Benami Transactions (Prohibition) Act

Why correct: The Benami Transactions (Prohibition) Act deals with property held in another's name.

A is wrong: The Factories Act is irrelevant.

C is wrong: Sale of Goods Act is irrelevant.

D is wrong: Payment of Wages Act is irrelevant.